



**NIRUPAMA
SOUNDARARAJAN
& ARINDAM
GOSWAMI**

CO-FOUNDERS, POLICY
CONSENSUS CENTRE

TICKING THE RIGHT BOXES

**The Draft Framework for Climate Finance
Taxonomy can catalyse financial innovation and
make India a net zero economy**

AS INDIA ADVANCES towards its ambitious climate goals, aligning financial flows with sustainable development objectives has become paramount. The recently released Draft Framework for Climate Finance Taxonomy is an important step to establish a unified framework to guide investments towards climate adap-

tation and mitigation measures. The Economic Survey 2023-24 estimated that India requires approximately \$2.5 trillion for mitigation efforts by 2030. Adaptation financing estimates of \$1tn by 2030 add further pressure, particularly for critical sectors such as agriculture, infrastructure and water resources.

120 |

**STANDARDISED
TAXONOMY IS
ESSENTIAL TO
PROVIDE CLARITY
TO INVESTORS
AND PREVENT
MISALLOCATION
OF RESOURCES**

